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Balance Sheet as on 31st March, 2016

Liabilities	`	`	Assets	`	`
Capital	1,20,000		Goodwill		10,500
Less: Net loss	1,400		Business premises		60,000
	1,18,600		Stock in trade		5,000
Add: Interest on capital	7,200		Sundry debtors	22,000	
	1,25,800		Less: Bad debts	2,000	
Less: Drawings and Interest on drawings (2000+100)	2,100	1,23,700		20,000	
Sundry creditors		22,500	Less: Provision for bad and doubtful debts (20,000 x 10/100)	2,000	18,000
			Bills receivable		14,500
			Cash at bank		30,000
			Cash in hand		8,200
		1,46,200			1,46,200

Illustration 20

From the trial balance of Ajith and the adjustments given below, prepare trading and profit and loss A/c for the year ended 31st March, 2016 and the balance sheet as on that date.

Particulars	Debit `	Particulars	Credit `
Opening stock	15,000	Capital	25,000
Furniture and fixtures	30,000	Returns outward	1,000
Purchases	40,000	Bills payable	10,000
Sales returns	2,000	Sales	1,24,000
Carriage inwards	10,000	Provision for doubtful debts	500
Office rent	23,000	Provision for discount on debtors	100
Sundry debtors	20,100		
Bank balance	19,600		
Bad debts	900		
	1,60,600		1,60,600

Adjustments:

(a) Stock at the end of the year was ` 8,000

(b) Further bad debts amounted to ` 100

(c) Create 2% provision for doubtful debts on sundry debtors

(d) Create 1% provision for discount on sundry debtors